

cided to adjust to a one-income home, it couldn't get better.

The housing category should consume about 30 percent of net spendable income. Remember that net spendable income means after tithes and taxes. Within that 30 percent is everything associated with housing, including the mortgage, taxes, utilities, even the telephone bill. For a couple earning \$24,000 a year, that's about \$500 a month. Clearly, the "average" couple can't afford the average home. Their budget won't handle it.

Many couples ask, "Is it better to rent or to buy?" The answer is, to buy—but only if you can stay within your budget. If your budget won't handle the payments, don't buy. It's better to rent and live peacefully than buy and be in financial bondage. As the Bible teaches, "By wisdom a house is built, and by understanding it is established" (Proverbs 24:3). Most couples would be advised to buy a small home the first time, put their time and effort into it, and use that as seed money for their next one. By exercising self-discipline and good planning, most couples can own a home debt-free in about 12 years. Instead, the norm today is to buy too large a home initially, trade three to four times when the debts get overwhelming, and still owe for a home after 30 years of marriage.

We use an example in teaching seminars on family finances that I would like to share. Two husbands, whom we'll call Bill Big and Sam Small, are considering buying their first homes. The question is: is it better to buy big or small?

Bill Big decides to buy what he can "afford," so he buys a home for \$125,000 at 10 percent interest for 30 years, financing \$115,000. His payments are \$1,000 a month for 30 years, so he pays \$360,000 for his \$125,000 home.

Sam Small, on the other hand, bought a \$70,000 home and financed \$60,000 for 7 years at 10 percent, so his payments were also \$1,000. Sam sold his home for \$70,000 after 7 years when the debt was paid (no profit). He then took his \$70,000 and bought a \$125,000 home next to Bill Big, financing \$55,000 (\$125,000 minus \$70,000) for 7 additional years at 10 percent. His new payments were \$913 per month.